RESEARCH PAPER

Building the Institutional Infrastructure

This paper provides the operational details of security clearances, industrial participation, and export controls: the three institutional prerequisites Ireland must build before its defence technology sector can access EU funding, win domestic supply chain positions, or compete in international markets

Security Ireland

June 2026

THE ARGUMENT

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Ireland has approximately 550 dual-use technology firms, a €2.4 billion dual-use export market, and a technology talent pool shaped by hosting the European headquarters of nine of the ten largest US technology companies. It has an emerging €2.5 billion domestic defence procurement pipeline. It sits at the intersection of three domains — maritime, subsea, and cyber — where EU funding instruments are explicitly allocating tens of billions.

And yet Irish firms cannot participate in classified EU defence programmes because there is no security clearance system. They cannot win supply chain positions on domestic procurement because there is no industrial participation policy. They cannot independently export defence technology because there is no export control framework. These are not abstract policy gaps, they are the institutional infrastructure that converts a technology sector into a defence industrial base. Every defence-procuring state in Europe has built all three, yet Ireland has none of them.

This paper provides the operational blueprint for building each one: the step-by-step process, the institutional home, the legislation required, the staffing and IT needs, the interaction with EU and international frameworks, the known failure modes from other countries, and the realistic timeline for delivery.

Figure 1: Three prerequisites, three market layers unlocked. Security clearances (2026) unlock EU programme access. Industrial participation (2027+) unlocks domestic supply chain positions. Export controls (2028+) unlock international market access. The sequence matters: each reform enables the next.

Prerequisite 1: Security clearances

Why clearances matter

A security clearance is the government's certification that a person or facility can be trusted to handle classified information at a specified level. In defence procurement, "classified information" is pervasive. The requirements documents for most European Defence Fund (EDF) calls contain classified threat assessments, capability specifications, and interoperability standards that cannot be shared with uncleared personnel. EDIP consortium participation requires handling classified deliverables, attending classified briefings, and storing classified materials in accredited facilities. The Cork MoU's cyber track involves bilateral threat intelligence sharing at classification levels that require personnel clearances on both sides.

Without clearances, Irish firms are locked out of the most valuable parts of EU defence cooperation. They can participate in unclassified EDF research calls — a minority of the programme — but cannot access the classified development calls where the higher-value, closer-to-procurement work happens. They can join European Defence Industrial Programme (EDIP) consortia in principle but cannot handle the classified work packages. They can be named as consortium partners but cannot sit in the room where classified requirements are discussed. The clearance gap does not merely limit access. It makes Irish participation structurally superficial.

How vetting actually works

Personnel vetting is an investigative process. At the *Confidential* level (the lowest), it involves: identity verification, criminal record checks across all jurisdictions where the individual has resided, financial checks (credit history, bankruptcy, significant debt), verification of employment history, and reference interviews with nominated contacts. Processing time in established systems is four to eight weeks.

At the *Secret* level, vetting adds: extended financial investigation (asset declarations, unusual transactions, unexplained wealth), field interviews with colleagues, neighbours, and associates (not just nominated references), review of foreign contacts and travel history, and assessment of vulnerabilities to coercion (financial pressure, personal circumstances, foreign family ties). Processing time is three to six months. This is the level most EDF and EDIP work requires.

At *Top Secret*, vetting adds: comprehensive lifestyle investigation, in-depth interviews covering personal history, motivations, and attitudes, ongoing monitoring (in some states including periodic reinvestigation or continuous evaluation), and in certain jurisdictions polygraph examination. Processing time is six to twelve months or longer. This level is required for the most sensitive programmes and for facility clearances where Top Secret material will be stored.

The challenge for Ireland is not the concept — it is the investigative infrastructure. Vetting requires trained investigators with access to police databases (Garda PULSE system), Revenue records, immigration databases, and international criminal record exchange systems (ECRIS). Ireland's current vetting capacity is limited to Garda vetting for childcare and vulnerable persons, and the Defence Forces' own internal vetting through IMIS. Neither is designed for the depth or classification levels that defence industrial clearances require. Building this capacity means recruiting and

training specialist vetting officers — a cadre that does not currently exist in the Irish public service.

Figure 2: How comparable states run security clearances. Finland (SUPO/DSA), Denmark (PET), Netherlands (AIVD/MIVD), Estonia (KAPO) — all have permanent, statutory systems with defined processing times, clearance levels aligned to EU/NATO standards, and mutual recognition arrangements. Ireland has none.

The mutual recognition problem

A clearance is only as useful as other states' willingness to accept it. When an Irish engineer joins a French-led EDF consortium, France needs to trust that Ireland's vetting process meets its standards. This trust is formalised through bilateral security agreements and mutual recognition arrangements — treaties or agreements between national security authorities that establish equivalence of classification levels and vetting standards.

Ireland's interim clearance process creates an immediate problem here. An interim process without statutory basis, without a permanent National Security Authority, and without established mutual recognition agreements may not be accepted by partner states. France, Germany, and the Netherlands — the states most likely to lead EDF consortia Ireland wants to join — have rigorous requirements for accepting foreign clearances. The risk is that Ireland goes through the effort of vetting personnel only to find that partner states do not recognise the result. The solution is to design the interim process in consultation with key partner National Security Authorities and to begin negotiating mutual recognition arrangements before the permanent system is established.

The facility clearance dimension

Facility clearances accredit company premises for handling classified material. The requirements are physical: secure rooms with access control, intruder detection, secure communications, classified IT networks separated from corporate networks, document storage meeting classification-level specifications, and procedures for visitor access, material transfer, and destruction of classified material. These are not trivial — building a secure compartmented information facility (SCIF) to Secret level can cost €200,000 to €500,000 depending on the size and specifications.

For Irish startups and SMEs, this cost is a barrier. A ten-person maritime AI company cannot absorb a half-million-euro facility build.

Two mechanisms help:

First, shared classified facilities: a government-provided or industry-association-provided secure room where multiple companies can access classified material without each building their own. The IDSA could potentially host such a facility, or it could be located within a Defence Forces installation.

Second, the EU's EUDIS programme (EU Defence Innovation Scheme) includes provisions for supporting SME access to classified environments. Ireland should ensure that any national facility clearance scheme includes a shared-facility option for SMEs.

What Ireland should build

The system should have three clearance levels aligned with both EU Council Security Rules and NATO security policy:

(1) Irish Confidential/EU Restreint/NATO Restricted;

(2) Irish Secret/EU Secret/NATO Secret;

(3) Irish Top Secret/EU Tres Secret/NATO Cosmic Top Secret.

Two tracks: personnel and facility.

One authority: a National Security Authority (NSA) housed initially within the Department of Justice (where the interim process sits) and eventually within the unified National Security Agency recommended in the Intelligence Architecture Reform paper.

Specific steps: draft legislation establishing the NSA's clearance powers, the classification system, and the rights and obligations of cleared persons and facilities. Recruit an initial cadre of 15–20 vetting officers (a mix of investigators seconded from An Garda Síochána and IMIS, plus new hires with financial investigation experience). Build or procure the IT system for managing applications, tracking clearance status, interfacing with EU and partner databases, and supporting the reinvestigation cycle. Negotiate mutual recognition arrangements with France, Germany, the Netherlands, and the UK — the four states whose acceptance matters most for EDF, EDIP, and Cork MoU purposes. Establish the shared classified facility for SME access.

Target: interim process operational before July 2026 (Presidency start), permanent system operational by late 2027, mutual recognition agreements signed by mid-2028.

Prerequisite 2: Industrial participation

How offset negotiations actually work

When a government procures a major defence system — radar, naval vessels, armoured vehicles — it issues a request for proposals (RFP) that includes industrial participation requirements. The prime contractor (Thales, Leonardo, BAE Systems, etc.) must submit an offset proposal alongside its technical and commercial bid. The offset proposal specifies: which local firms will receive subcontracts, what technology will be transferred, what R&D will be conducted locally, what training will be provided, and how compliance will be measured.

The government evaluates the offset proposal as part of the overall bid assessment — typically scoring it alongside price, technical merit, and delivery schedule. Offsets usually carry 10–20% of the total evaluation weight. Once the contract is awarded, the offset obligations are written into the procurement contract as binding commitments with milestones, reporting requirements, and penalties for non-compliance. An industrial participation office within the procurement agency monitors compliance over the life of the contract, which can span a decade or more.

The critical design choice is the 'multiplier' system. Most offset policies assign different values to different types of offset activity. Direct offsets (work directly related to the procured system — assembling components, integrating software) typically receive a 1:1 credit. Indirect offsets (work unrelated to the procured system but benefiting the local defence base — R&D investment, technology transfer, training) may receive multipliers of 2:1 or 3:1, meaning a €1 million R&D investment counts as €2–3 million toward the offset obligation. Technology transfer often receives the highest multiplier because it has the most lasting impact on local capability.

Where the failures happen

Offset policies have well-documented failure modes that Ireland should design around:

First, phantom offsets: the prime claims credit for activities that would have happened anyway (hiring local staff it was going to hire, purchasing local materials it was going to purchase). The solution is an additionality requirement — offset credit only for activities that would not have occurred without the offset obligation.

Second, gold-plating: the prime proposes expensive but low-value activities to meet the percentage target without building real capability (sponsoring conferences, donating equipment to universities). The solution is a pre-approved list of eligible activities with clear criteria for what counts.

Third, displacement: the prime subcontracts to a local firm but at below-market terms, effectively extracting value from the local firm rather than investing in it. The solution is fair-market-value requirements and monitoring of subcontract terms.

Fourth, front-loading: the prime fulfils offset obligations early in the contract through easy activities and then reduces engagement in later years when the harder capability-building work is supposed to happen. The solution is milestone-linked offset schedules aligned with the procurement timeline.

Figure 4: With versus without an industrial participation policy. The contrast is binary: €2.5 billion either leaves Ireland or generates €375–750 million in domestic workshare, reference customers, and technology transfer. Every comparable defence-procuring state requires participation. Ireland does not.

The specific Irish procurement contracts

The participation policy should apply to contracts Ireland is procuring now or imminently. The primary radar programme is the highest-value procurement in Irish defence history. Whichever international supplier wins — Thales, Leonardo, Hensoldt, Raytheon — should be required to partner with Irish firms for signal processing software, AI-enhanced detection algorithms, data fusion systems, and maintenance. For example, Sea-Scan's maritime AI and Ubotica's satellite surveillance technology are directly relevant to radar system integration.

The naval fleet renewal programme involves new multi-role vessels and armament for existing ships. Participation should require workshare for Irish firms in onboard systems: maritime surveillance integration, communications, navigation, and sensor packages. The armoured vehicle programme (from France) should require technology transfer or workshare in areas where Irish firms have capability — VR training simulation (VRAI), sensor integration (Provizio), or communications systems. The counter-drone procurement should require integration testing and potentially co-development with Irish sensing firms.

The institutional home

The industrial participation office should sit within the Department of Defence's procurement function, with dedicated staff (three to five professionals initially) who understand both procurement law and industrial economics. The office evaluates offset proposals, monitors compliance, mediates disputes, and reports annually to the Minister. It should be established by administrative action — no legislation is required to include participation requirements in procurement contracts, as these are contractual terms rather than regulatory obligations. This means the policy can be implemented faster than clearances or export controls, which require legislation. A policy decision by the Minister, followed by incorporation into the next major procurement tender, is sufficient. The radar programme RFP is the natural first application.

The EU procurement directive question

The EU Defence Procurement Directive (2009/81/EC) restricts the use of offsets in EU defence procurement. However, it permits requirements related to security of supply and security of information that may include local industrial participation. The Commission's 2026 revision of the Directive is expected to address this tension — and Ireland's Presidency chairs the relevant discussions. Ireland should design its participation policy within the Directive's existing flexibility and use the Presidency to ensure the revision does not further constrain small-state industrial participation options.

Prerequisite 3: Export controls

How export control chains actually work

An end-user certificate (EUC) is a document signed by the government of the importing country certifying the identity of the final user, the intended end-use of the technology, and a commitment not to re-export or divert the items without the consent of the originating state. The exporting state's licensing authority reviews the EUC, assesses the proliferation risk, checks the end-

user against sanctions lists and watch lists, and decides whether to grant an export licence.

This chain has multiple links: the manufacturer applies for a licence, the licensing authority assesses the application, the end-user provides the certificate, the customs authority verifies the shipment at the border, and the licensing authority conducts post-shipment verification to confirm the items reached the declared end-user. Each link requires institutional capacity — a licensing office with technical expertise, customs officials trained in controlled-item identification, diplomatic channels for end-user verification, and an enforcement mechanism for violations.

Ireland currently implements the EU Dual-Use Regulation (2021/821) through the Department of Enterprise, which licenses exports of items on the EU dual-use control list. This covers items with both civilian and military applications — encryption technology, certain sensors, advanced materials, nuclear-related items. But it does not cover items on the Wassenaar Arrangement's Munitions List — items specifically designed for military use. A Ubotica satellite system configured for civilian maritime monitoring is dual-use and covered, but the same system configured specifically for military surveillance and target tracking may fall under the Munitions List and is not covered by Ireland's existing framework.

What Wassenaar alignment involves

The Wassenaar Arrangement on Export Controls for Conventional Arms and Dual-Use Goods and Technologies has 42 participating states. Ireland is a participating state by virtue of EU membership and implements the dual-use component through the EU Regulation. But full alignment requires implementing the Munitions List — Wassenaar's list of items specifically designed for military use — into national legislation with a national licensing authority empowered to assess and approve military exports.

Practically, this means: drafting legislation defining controlled military items (aligned with the Wassenaar Munitions List), establishing a licensing authority (either within the Department of Enterprise, which already handles dual-use, or as a dedicated military export licensing unit), staffing the authority with technical experts who can assess whether a specific item falls under controls and whether a specific export poses proliferation risk, training customs officials to identify controlled items at the border, and establishing diplomatic protocols for end-user certificate verification and post-shipment inspection.

Figure 5: The export control gap. Ireland has no end-user certificate system for military items, no re-export controls, and no Munitions List implementation. Irish firms can operate within Ireland and through EU frameworks but cannot independently export to non-EU defence markets.

The specific items that would fall under controls

Irish firms currently produce technology that, if specifically configured for military applications, would likely fall under Wassenaar or EU controls. Ubotica's satellite AI for vessel tracking: military variants configured for target acquisition or intelligence collection fall under Munitions List categories for military surveillance systems. Cathx Ocean's underwater imaging: configured for submarine detection or mine identification, these are military sensing systems. VRAI's VR simulation: military training applications are controlled in some jurisdictions under simulation and training equipment categories. Reamda's bomb disposal robots: already a military application and would fall under unmanned ground vehicle controls.

The AI question is the most complex. AI models and algorithms are not physical items, as they can be transferred electronically, updated remotely, and

integrated into military systems without a visible export event. The EU's Dual-Use Regulation added provisions for surveillance technology and cyber-intrusion tools in its 2021 revision, but the control of AI models for military applications is an evolving regulatory frontier.

Ireland, as the EU's GDPR enforcement hub and the European home of most major AI companies, has a distinctive interest in ensuring that AI export controls are workable and do not inadvertently capture civilian applications. The export control system Ireland builds should be designed to handle AI from the start — not as an afterthought.

The Anthropic question, operationalised

Ireland hosts Anthropic's European headquarters. However, Anthropic's AI technology has been reported in military applications including precision-guided munitions. Ireland has no framework to govern, monitor, or even track whether AI developed on Irish soil enters military supply chains. This is not a hypothetical policy question but a current operational reality; an export control framework would not necessarily prevent Anthropic from developing AI in Ireland — the technology is developed by a US company under US export controls, and Ireland's framework would apply to Irish entities, not to a US parent's global operations. But it would give Ireland visibility into the supply chain, the ability to certify Irish-origin technology's end-use, and a credible answer when EU partners or the public ask: what is your framework for this?

Realistic timeline and resource requirements

The licensing authority needs approximately 10–15 staff: a director, three to four technical assessors (with expertise in electronics, software, and maritime/aerospace systems), two to three policy officers, two administrative support staff, and two to three customs liaison officers. The IT system for licence management can be built on the existing dual-use licensing platform, extended to cover military items.

The legislation can be modelled on peer states — Finland's military export control law (2021) is a useful template for a small EU state. The total setup cost is modest: €2–3 million for the first year including IT, staffing, and diplomatic engagement. Ongoing annual costs of approximately €1.5–2 million. For a state with a €42 billion surplus, the resource barrier is not financial. It is institutional attention and political will. Timeline: if initiated in 2026, draft legislation by mid-2027, parliamentary passage by end 2027, authority operational by mid-2028, full capability including post-shipment verification by 2029.

The implementation sequence

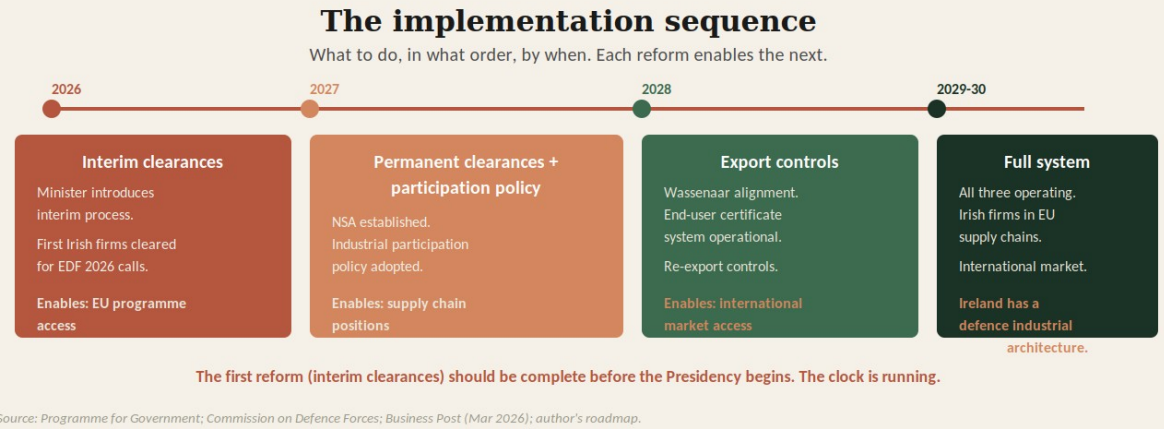

Figure 6: The sequenced roadmap. Interim clearances (2026) enable EU programme access. Permanent clearances and industrial participation (2027) enable domestic supply chain positions. Export controls (2028–2030) enable international market access. Each phase enables the next.

The three prerequisites must be implemented in sequence because each enables the next:

Clearances first: without them, Irish firms cannot participate in the EU programmes that generate the experience and relationships needed for domestic workshare. The interim process must be operational before the Presidency begins in July 2026, because the EDF 2026 calls are open and EDIP consortium formation is underway. Missing this window means waiting for the next programme cycle.

Industrial participation second: once clearances enable Irish firms to participate in EU consortia, the domestic

procurement pipeline becomes the vehicle for building Irish firms' capability and track record. The radar programme RFP should include participation requirements from its inception. The policy decision should be made by mid-2026 and incorporated into the next major tender.

Export controls third: the longest build time but the longest payoff horizon. Irish firms participating in EU consortia will, by 2028–2029, be producing technology that has defence-specific configurations. Without export controls, they can supply through the EU framework but cannot independently access non-EU markets. The export control system should be initiated in 2026 so that it is operational by the time Irish firms need it.

Each reform is independently valuable. If the process stalls at any point, what has been built remains useful. But the full system — clearances plus participation plus export controls — is what transforms Ireland from a state that happens to have technology firms into a state with a functioning defence industrial architecture.

THE BOTTOM LINE

Three institutional reforms, three market layers, one sequence. Security clearances first: the EDF 2026 calls are open now. Industrial participation next: the €2.5 billion procurement pipeline is flowing now. Export controls third: the longest lead time, start now. None of these is technically difficult. Finland, Denmark, the Netherlands, and Estonia have all built these systems at comparable or smaller scale. The total cost of all three systems combined is less than €5 million in the first year — a rounding error in Ireland's defence budget, let alone its surplus. The barrier is not money, not complexity, and not technical difficulty. It is institutional attention. These reforms do not have natural political champions. They are not electorally salient. They require sustained administrative effort across multiple departments over multiple years. The Presidency creates a window of political attention for security and defence. That window should be used not only to shape EU rules (the Presidency Desk series) but to build the domestic institutional infrastructure that allows Ireland to benefit from those rules. Without clearances, EDIP access is theoretical. Without participation, the procurement pipeline enriches foreign primes only. Without export controls, Irish firms are confined to the EU market. The institutional infrastructure is the bridge between having a technology sector and having a defence industrial base.

SERIES CONTEXT

This paper provides the deep operational detail for three of the five prerequisites identified in Ireland's Defence Industrial Architecture paper. It connects to the *Presidency Desk* series (Briefs 1 and 4 address the EU-side rules), the *Intelligence Architecture Reform* paper (the unified agency that should host the clearance authority), the *Defence Technology Market Map* (the opportunity these reforms unlock for investors), and the *Presidency Action Handbook* (the Brussels-side actions that complement these domestic reforms).